Table 24.4 Breakout and Post-Breakout Statistics

Description	Up Breakout	Down Breakout
Breakout direction	46% up	54% down
Performance of breakouts occurring near the 12-month low (L), middle (M), or high (H)	L 35%, M 28%, H 29%	L –20%, M –17%, H –17%
Throwbacks/pullbacks occurrence	57%	58%
Average time to throwback/pullback peaks	5% in 4 days	–6% in 5 days
Average time to throwback/pullback ends	10 days	13 days
Average rise/decline for patterns with throwbacks/pullbacks	21%	–14%
Average rise/decline for patterns without throwbacks/pullbacks	39%	–21%
Percentage price resumes trend	58%	48%
Performance with breakout day gap	25%	–15%
Performance without breakout day gap	30%	–18%
Average gap size	$0.56	$0.29

The time to complete the throwback or pullback ranges between 10 and 13 days. When a throwback or pullback occurs, performance suffers, as the table shows. Thus, the key to selecting better performing patterns is to search for underlying support or overhead resistance before trading. Nearby support or resistance may repel the downward or upward move, respectively.

Gaps. Across the board, gaps hurt performance. By gaps, I mean a price gap that occurs on the day price closes outside the pattern boundary (the breakout day). I'm not sure why this is because gaps are supposed to help performance, not hinder it.

Table 24.5 shows pattern size statistics.